Claim No. BL-2025-000418

IN THE HIGH COURT OF JUSTICE

BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES

CIRCUIT COMMERCIAL COURT (KBD)

B E T W E E N :

PENNINGTON INDUSTRIES LIMITED

Claimant

- and -

TREGARTH BEARINGS LIMITED

Defendant

PARTICULARS OF CLAIM

The parties

1. The Claimant, Pennington Industries Limited ("Pennington"), is a company incorporated in England and Wales (company number 02214476) which designs and manufactures industrial centrifugal pumps, including its PX-180 and PX-220 ranges, at its works at Tyseley, Birmingham.

2. The Defendant, Tregarth Bearings Limited ("Tregarth"), is a company incorporated in England and Wales (company number 04477120) which manufactures and supplies precision rolling-element bearings from its works at Wakefield, West Yorkshire.

The Contract

3. By a contract in writing dated 14 March 2024 (the "Contract"), Tregarth agreed to manufacture and supply to Pennington precision angular-contact spindle bearings of Tregarth's type TB-7208-HP (the "Bearings"). The Contract comprised:

   (a) Pennington's purchase order PEN-PO-2024-0411 dated 11 March 2024; and

   (b) Tregarth's quotation TGQ-7208-0224 dated 4 March 2024, which Pennington accepted by the said purchase order.

4. It was an express term of the Contract that the Bearings would conform to Pennington's engineering specification PEN-ES-4471 Rev C (the "Specification"), a copy of which had been provided to and acknowledged by Tregarth. The Specification required, among other things, that the raceway surface hardness of each Bearing be not less than 60 HRC and that the Bearings achieve a basic rating life (L10) of not less than 30,000 hours at the rated duty of the PX-180 and PX-220 pumps.

5. It was a further express term of the Contract that each delivery would be accompanied by a certificate of conformity and by hardness test results for the batch supplied.

6. The Contract was a contract for the sale of goods. Accordingly there were implied into it the terms set out in:

   (c) section 13 of the Sale of Goods Act 1979, that the Bearings would correspond with their description and with the Specification;

   (d) section 14(2) of the Sale of Goods Act 1979, that the Bearings would be of satisfactory quality; and

(e) section 14(3) of the Sale of Goods Act 1979, that the Bearings would be reasonably fit for the purpose of being incorporated into the PX-180 and PX-220 pumps, that purpose having been made known to Tregarth.

Delivery and payment

7. Between 9 May 2024 and 21 August 2024 Tregarth delivered 1,240 Bearings to Pennington against the Contract, in five batches (batch numbers TB24-0511, TB24-0603, TB24-0627, TB24-0719 and TB24-0815), at a unit price of £229.50, a total price of £284,580 excluding VAT. Pennington paid Tregarth in full.

8. Pennington incorporated the Bearings into PX-180 and PX-220 pumps which it manufactured and sold to its customers, principally municipal water undertakings, in the period from June 2024 onwards.

Breaches of contract

9. In breach of the express and implied terms set out above, the Bearings were not in conformity with the Specification, were not of satisfactory quality and were not fit for their purpose.

10. **PARTICULARS OF BREACH**

(f) Beginning in September 2024, Bearings supplied under the Contract failed prematurely in service, both during Pennington's production testing and in pumps that had entered service in the field.

(g) Metallurgical examination of a representative sample of 24 failed Bearings, carried out by Argent Metallurgical Services, established that the raceway surface hardness of the sampled Bearings ranged between 52 and 55 HRC, materially below the contractual minimum of 60 HRC.

(h) The deficiency in hardness was consistent with an incorrect or incomplete through-hardening heat-treatment of the bearing steel by or on behalf of Tregarth.

(i) In consequence, the Bearings were subject to accelerated sub-surface fatigue spalling and failed well short of the contractual L10 rating life of 30,000 hours, the sampled Bearings having failed at a mean of approximately 4,100 hours.

(j) Pennington will rely on the report of Argent Metallurgical Services dated 16 December 2024 for its full effect.

Causation and loss

11. By reason of the matters set out above, Pennington has suffered loss and damage. As soon as the cause of the failures was identified, Pennington reasonably initiated a programme of recall, inspection and rework of affected pumps and replaced the defective Bearings with conforming bearings sourced from an alternative supplier, Northvale Metals Limited.

12. Pennington's loss and damage, particularised in the Schedule of Loss served with these Particulars of Claim, is summarised as follows:

(k) cost of recall, inspection and rework of affected pumps: £1,422,000;

(l) cost of replacement bearings and expedited carriage: £284,040;

(m) customer credits, liquidated damages and contractual remedies paid to affected customers: £512,000;

(n) metallurgical investigation and expert costs: £74,600; and

(o) wasted management and engineering time: £126,000,

13. giving a total of £2,418,640.

14. Further, Pennington claims interest on such sums as may be found due, pursuant to section 35A of the Senior Courts Act 1981, at such rate and for such period as the Court thinks fit.

AND the Claimant claims

15. Damages in the sum of £2,418,640;

16. Interest pursuant to section 35A of the Senior Courts Act 1981;

17. Costs.

STATEMENT OF TRUTH

The Claimant believes that the facts stated in these Particulars of Claim are true. The Claimant understands that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed: ..... Tom Gallagher, Whitfield Carter LLP, solicitors for the Claimant

Dated: 6 February 2025